

Last Name:

First Name:

ID:

Question 1.

5 pts

Let Y denote a random variable that takes on any of the values -2 , 0 , and 2 with respective probabilities

$$P(Y = -2) = 0.1, \quad P(Y = 0) = 0.6, \quad P(Y = 2) = 0.3.$$

Compute $\mathbb{E}[Y^2]$

Solution 1.

The second moment can be calculated as follow:

$$\begin{aligned}\mathbb{E}[Y^2] &= \sum_{y \in \{-2, 0, 2\}} y^2 \cdot P(Y = y) \\ &= (-2)^2 P(Y = -2) + 0^2 \cdot P(Y = 0) + 2^2 \cdot P(Y = 2) \\ &= 0.4 + 1.2 = 1.6\end{aligned}$$

□

Question 2.

6 pts

If $\mathbb{E}[Z] = 1$ and $\text{Var}(Z) = 3$, find

(a) (4 pts) $\mathbb{E}[(2 + Z)^2]$

(b) (2 pts) $\text{Var}(4 + 3Z)$

Solution 2.

(a) First, let us calculate $\mathbb{E}[Z^2]$,

$$\mathbb{E}[Z^2] = \text{Var}(Z) + [\mathbb{E}(Z)]^2 = 3 + 1 = 4. \quad 2 \text{ pts}$$

Then,

$$\begin{aligned}\mathbb{E}[(2 + Z)^2] &= \mathbb{E}[4 + 4Z + Z^2] = 4 + 4\mathbb{E}[Z] + \mathbb{E}[Z^2] \\ &= 4 + 4 \times 1 + 4 = 12. \quad 2 \text{ pts}\end{aligned}$$

(b) This can be done as

$$\text{Var}(4 + 3Z) = 9 \text{Var}(Z) = 9 \times 3 = 27 \quad 2 \text{ pts}$$

□

Question 3.

20 pts

Let X be a random variable with probability density function

$$f(x) = \begin{cases} c(1 - |x|)^3, & -1 \leq x \leq 1 \\ 0, & \text{otherwise.} \end{cases}$$

- (a) (5 pts) What is the value of c ?
- (b) (5 pts) What is the cumulative distribution function of X ?
- (c) (5 pts) Calculate $\mathbb{E}[X]$
- (d) (5 pts) Compute the variance $\text{Var}(X)$

Solution 3.

(a) Since $f(x)$ is a valid pdf,

$$\int_{-\infty}^{\infty} f(x) dx = 1.$$

Thus,

$$1 = \int_{-1}^1 c(1 - |x|)^3 dx.$$

Because the function is even,

$$1 = 2c \int_0^1 (1 - x)^3 dx = 2c \left[-\frac{(1 - x)^4}{4} \right]_0^1 = 2c \left(\frac{1}{4} \right) = \frac{c}{2}.$$

Therefore,

$$\boxed{c = 2.}$$

(b) For $x < -1$:

$$F(x) = 0.$$

For $-1 \leq x < 0$:

$$F(x) = \int_{-1}^x 2(1 - |t|)^3 dt = \int_{-1}^x 2(1 + t)^3 dt.$$

Integrating,

$$F(x) = 2 \left[\frac{(1 + t)^4}{4} \right]_{-1}^x = \frac{(1 + x)^4}{2}.$$

For $0 \leq x < 1$:

$$F(x) = F(0) + \int_0^x 2(1 - t)^3 dt.$$

Since $F(0) = \frac{(1+0)^4}{2} = \frac{1}{2}$,

$$F(x) = \frac{1}{2} + 2 \left[-\frac{(1 - t)^4}{4} \right]_0^x = \frac{1}{2} + \frac{1}{2} - \frac{(1 - x)^4}{2} = 1 - \frac{(1 - x)^4}{2}.$$

For $x \geq 1$:

$$F(x) = 1.$$

Hence,

$$F(x) = \begin{cases} 0, & x < -1, \\ \frac{(1+x)^4}{2}, & -1 \leq x < 0, \\ 1 - \frac{(1-x)^4}{2}, & 0 \leq x < 1, \\ 1, & x > 1. \end{cases}$$

(c) Since $f(x)$ is even and $xf(x)$ is odd,

$$\mathbb{E}[X] = \int_{-1}^1 xf(x) dx = 0.$$

Thus,

$$\boxed{\mathbb{E}[X] = 0.}$$

(d) We have

$$\text{Var}(X) = \mathbb{E}[X^2] - (\mathbb{E}[X])^2 = \mathbb{E}[X^2].$$

Compute

$$\mathbb{E}[X^2] = \int_{-1}^1 x^2 f(x) dx = 2 \int_0^1 x^2 (2)(1-x)^3 dx = 4 \int_0^1 x^2 (1-x)^3 dx.$$

Expand and integrate:

$$\int_0^1 x^2 (1-x)^3 dx = \int_0^1 (x^2 - 3x^3 + 3x^4 - x^5) dx = \frac{1}{3} - \frac{3}{4} + \frac{3}{5} - \frac{1}{6} = \frac{1}{60}.$$

Hence,

$$\mathbb{E}[X^2] = 4 \times \frac{1}{60} = \frac{1}{15}.$$

Thus,

$$\boxed{\text{Var}(X) = \frac{1}{15}.}$$

□

Question 4.

10 pts

The probability mass function of a random variable X is given by

$$f(x) = \frac{k \cdot 2^x}{x!}, \quad x = 0, 1, 2, \dots$$

(a) (4 pts) Find the mgf of X

(b) (6 pts) Use the mgf to calculate $\mathbb{E}[X]$ and $\text{Var}(X)$

Solution 4.

(a) First we need to find k

$$\begin{aligned}
\sum_{x=0}^{\infty} f(x) = 1 &\Leftrightarrow \sum_{x=0}^{\infty} \frac{k \cdot 2^x}{x!} = 1 \\
&\Leftrightarrow k \underbrace{\sum_{x=0}^{\infty} \frac{2^x}{x!}}_{e^2} = 1 \\
&\Leftrightarrow k \cdot e^2 = 1 \\
&\Leftrightarrow k = \frac{1}{e^2} = e^{-2}
\end{aligned}$$

Thus, $f(x) = \frac{e^{-2} 2^x}{x!}$ (1.5 pts).

Therefore, the mgf is given by

$$\begin{aligned}
M_X(t) = \mathbb{E} \left[e^{tX} \right] &= \sum_{x=0}^{\infty} e^{tx} \frac{e^{-2} 2^x}{x!} \\
&= e^{-2} \underbrace{\sum_{x=0}^{\infty} \frac{(2e^t)^x}{x!}}_{=e^{2e^t}} \\
&= e^{2(e^t-1)}, \quad t \in \mathbb{R}. \quad \text{2.5 pts}
\end{aligned}$$

(b) Taking derivatives,

$$\begin{aligned}
M'_X(t) &= 2e^t e^{2(e^t-1)} \quad \text{1 pts} \\
M''_X(t) &= 2e^t e^{2(e^t-1)} (2e^t + 1) \quad \text{1.5 pts}
\end{aligned}$$

Therefore,

$$\begin{aligned}
\mathbb{E}[X] &= M'_X(0) = 2e^0 e^{2(e^0-1)} = 2 \quad \text{1 pts} \\
\mathbb{E}[X^2] &= M''_X(0) = 2e^0 e^{2(e^0-1)} (2e^0 + 1) = 2(2e^0 + 1) = 6 \quad \text{1 pts}
\end{aligned}$$

and hence

$$\text{Var}(X) = \mathbb{E}[X^2] - (\mathbb{E}[X])^2 = 6 - 2^2 = 2. \quad \text{1.5 pts}$$

□